

23STCV05192 23STCV05192

County: los-angeles

Division: Civil Law and Motion

Department: 415

Hearing date: 2026-07-21

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C415%2C07%2F21%2F2026

Source SHA-256: e51f110e3f15573b76e951b6441d8fa4d2a11831e91285f1e1416dc1b4a2de60

Case Number: 23STCV05192 Hearing Date: July 21, 2026 Dept: 415

TENTATIVE

RULING

DEPARTMENT

415

HEARING DATE

July

21, 2026

CASE NUMBER

23STCV05192

MOTION

Motion

for Summary Judgment, or, in the Alternative, Summary Adjudication

MOVING PARTIES

Defendants

Bluestockings (US) Inc. and Lucasfilm Ltd. LLC

OPPOSING PARTIES

Plaintiffs

Full Count, Inc. and Karyn McCarthy

BACKGROUND

Plaintiffs Full

Count, Inc. ("Full Count") and Karyn McCarthy ("McCarthy," collectively, "Plaintiffs") sued Defendants Bluestockings (US) Inc. and Lucasfilm Ltd. LLC ("Lucasfilm," collectively, "Defendants"), alleging Defendants hired McCarthy as executive producer for The Acolyte television series and then reneged on the deal.

Defendants move

for summary judgment on Plaintiffs' operative second amended complaint, or, in the alternative, summary adjudication of the causes of action therein. Plaintiffs oppose the motion.

LEGAL STANDARD – MOTION FOR SUMMARY JUDGMENT

"[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law[.] There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850.) "[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact." (Ibid.)

"A party may move

for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the

plaintiff or plaintiffs.” (Code Civ. Proc., § 437c, subd. (f)(1).)

EVIDENCE

Plaintiffs

and Defendants object to the material facts in the separate statements of material fact. These material facts are not evidence. As such, the Court cannot rule on evidentiary objections to them. To the extent Plaintiffs and Defendants intend to object to the evidence in support of these material facts, these objections do not “[q]uote or set forth the objectionable statement or material” to which the parties object, as required. (Cal. Rules of Court, rule 3.1354, subd. (b)(3).) As such, the Court declines to rule on these objections.

Defendants’

objection to the declaration of Kenneth Basin is sustained. Defendants’ other evidentiary objections concern evidence which is not pertinent to the Court’s decision. The Court, therefore, need not rule on the objections. The Court’s ruling is based on admissible evidence. (See Code Civ. Proc., § 437c, subd. (q).)

DISCUSSION

First and Second Causes of Action:

Fraud

Plaintiffs’ first cause of action is fraud by concealment. “There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336, internal quotations and citations omitted.)

In the operative second amended complaint,

Plaintiffs allege Defendants concealed from McCarthy “the show had not yet been greenlit [and] how incomplete the scripts for the series were.” (Second Amended Complaint, ¶ 41), and Defendants concealed “Defendants had no intention of honoring the employment commitment that they had made to McCarthy” (id., ¶ 42). The pleadings set the outer limits of materiality in a summary judgment proceeding. (FPI Development, Inc. v. Nakashima (1991) 231 Cal.App.3d 367, 382.)

Plaintiffs’ assertion

Defendants concealed they did not intend to honor an employment agreement with McCarthy is a claim for promissory fraud, not fraudulent concealment. To prevail on a claim for promissory fraud, Plaintiffs must show specific factual circumstances beyond contract breach, which reflect Defendants’ contemporaneous intent not to perform. (Hills Transportation Co. v. Southwest Forest Ind., Inc. (1968) 266 Cal.App.2d 702, 707.) Plaintiffs allege no such facts. As such, Plaintiffs’ claim for promissory fraud fails on its face. Furthermore, Plaintiffs cite no such evidence in their opposition to the motion. Instead, Plaintiffs argue Defendants concealed “they were considering passing on her candidacy.” (Opposition to Defendants’ Motion for Summary Judgment, p. 22.) Such evidence is not of factual circumstances beyond the breach of any agreement with McCarthy, which could support a claim for promissory fraud. Accordingly, Plaintiffs’ claim for fraud based on Defendants’ concealment Defendants did not intend to honor an employment agreement with McCarthy fails.

Plaintiffs’ second

cause of action is intentional misrepresentation. “The elements of fraud, which give rise to the tort action for deceit, are (1) a misrepresentation, (2) with knowledge of its falsity, (3) with the intent to induce another’s reliance on the misrepresentation, (4) justifiable reliance, and (5) resulting damage.” (Conroy v. Regents of University of California (2009) 45 Cal.4th 1244, 1255.)

In this regard, Plaintiffs allege Defendants misrepresented to McCarthy the production had an approved budget of \$220 million, when the production did not have an approved budget, and the proposed budget for the production was \$185 million. (Second Amended Complaint, ¶ 54.) Plaintiffs also allege Defendants misrepresented to McCarthy the total run time for the series would be six and a half hours, when the actual projected run time was shorter. (Id., ¶ 55.)

Defendants argue any

representations to Plaintiffs were “statements regarding future events,” which are “not actionable in fraud.” (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1470.) In support of this contention, Defendants

rely on the declaration of Candice Campos ("Campos"), who worked as a production executive for Lucasfilm on the project. Campos states she interviewed four candidates during Lucasfilm's search for an executive producer for the project, including McCarthy (Declaration of Candice Campos, ¶ 12); she conducted McCarthy's interview with Simon Emanuel ("Emanuel"), who was also an executive producer on the project, and Emanuel remarked during the interview about how the project would be akin to a six-and-a-half-hour movie, but did not provide a guarantee of the length of the series or episodes (id., ¶ 15); the series was classified as an hourlong streaming series, which meant episodes would be longer than 30 minutes, but shorter than one hour (id., ¶¶ 17-18); McCarthy did not request or review any budget-related documents during the interview,. however, the estimated budget for the series was \$220 million at the time of the interview (id., ¶¶ 19-20).

Defendants also offer Emanuel's declaration in which he states, in early 2022, the gross budget target for the project was \$220 million, the net budget target was \$185 million, tax incentives from the United Kingdom, where production would take place, accounted for the difference, and they were necessary for the feasibility of the project (Declaration of Simon Emanuel, ¶¶ 10-11); and he met with McCarthy twice by videoconference regarding the project - - on March 18, 2022 and April 14, 2022, during their first videoconference, Emanuel shared the estimated gross budget for the production to convey the scale of the project, he did not intend to make any guarantee regarding the final budget for the project, he described the project as akin to a movie to convey the complexity of the project, rather than a television production, which often re-uses standing sets, and the run time of any episodes had not yet been set (id., ¶¶ 16-20).

Likewise, Defendants point out at deposition, McCarthy testified Emanuel told her the budget would be \$220 million for six and a half hours of material (Declaration of Corey G. Singer, Exhibit H, pp. 354-355); nothing other than Emanuel's statements during their videoconference meeting influenced her understanding of how long the episodes of the project would be (id., Exhibit K, pp. 560, 577-578, 583); she believed Campos and Emanuel were truthful with her when she met with them (id., Exhibit K, pp. 521-522); she understood the budget for a project can change during production (id., Exhibit K, pp. 504-505); she understood the difference between a gross versus net budget, and a gross budget would be higher than a net budget (id., Exhibit K, pp. 508-511); she assumed the \$220 million represented the net

budget (id., Exhibit K, p. 531); and she did not ask for additional information regarding the \$220 million budget (id., Exhibit K, pp. 540, 544-545).

Taken together, Defendants' evidence meets their burden to show Plaintiffs cannot prevail on the cause of action for fraudulent concealment, because the statements on which McCarthy relied were statements about predictions for the upcoming production. As McCarthy acknowledged at her deposition, she knew the budget for a production was subject to change, and, therefore, statements about a budget were predictive. Likewise, Defendants' evidence shows that any statements on which McCarthy relied were true, and therefore not misrepresentations which could support a cause of action for fraud. (See *Manderville v. PCG&S Group* (2007) 146 Cal.App.4th 1486, 1498.)

Furthermore, Defendants' evidence meets their burden to show Defendants' alleged concealment the series had not yet been greenlit and the scripts were incomplete was not misleading, because Defendants did not have "knowledge of material facts which [were] not accessible to" Plaintiffs, as McCarthy did not request further information about the budget or scripts. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 482.) Defendants, therefore, shifted the burden to Plaintiffs to raise triable issues of material fact as to whether Plaintiffs can prevail on the cause of action for fraud.

In opposition, Plaintiffs advance McCarthy's declaration, in which McCarthy states, in the March 18, 2022 meeting with Emanuel, Emanuel represented the budget for the project was \$220 million for eight episodes, and the series would be approximately six and a half hours total across the eight episodes (Declaration of Karyn McCarthy, ¶¶ 26, 28); "[t]he budget and run time informed my understanding of the size, seriousness, readiness, and production needs of *The Acolyte*" (id., ¶ 29); "[i]f Lucasfilm had told me that the budget was not approved, that the production had not been formally approved to commence principal photography, or that the run time/scope was materially uncertain or different from what was represented, those facts would have mattered to my decision whether to accept *The Acolyte* and turn away other opportunities" (id., ¶ 36); and she would not have turned down the opportunity from Apple on April 8, 2022 if she had "known that Lucasfilm had not approved the budget, had not approved the production to commence principal photography,

was uncertain about the scope or run time in a way materially different from what had been represented to me, or was already planning to pass on me" (id., ¶ 56).

Plaintiffs also

advance McCarthy's deposition testimony, at which McCarthy testified she would not have considered a half-hour project.

(Declaration of Robert E. Allen, Exhibit 22, pp. 355-356.) Plaintiffs also rely on Emanuel's deposition testimony to the effect he did not recall telling McCarthy the gross budget for the project was \$220 million, because he usually spoke in terms of net budget, which he recalled as \$185 million. (Id., Exhibit 11, p. 101.)

Plaintiffs'

evidence does not raise triable issues of material fact as to the causes of action for fraud. By testifying she

would not have considered a half-hour project, McCarthy acknowledged her understanding the project was an hourlong streaming series, which meant episodes would be longer than 30 minutes, but shorter than one hour. As such, McCarthy's

understanding about the project was entirely consistent with what she acknowledges Emanuel told her. Likewise,

McCarthy does not state she relied on the \$220 million budget figure as a net budget rather than a gross budget and, therefore, she does not raise triable issues about whether Emanuel's statement about the budget defrauded her.

While Plaintiffs

argue Defendants concealed from McCarthy "that The Acolyte had not been formally approved by senior leadership," Plaintiffs fail to show Defendants had exclusive knowledge of this fact, and Plaintiffs could not have obtained more information. (Opposition to Defendants'

Motion for Summary Judgment, p. 22.) While

Plaintiffs state McCarthy "had no

independent access" to such information, Plaintiffs advance no evidence McCarthy requested any such information.

(Ibid.) Thus, the Court

concludes Plaintiffs fail to raise triable issues of material fact as to whether Plaintiffs can prevail on the causes of action for fraud.

Third and Fifth Causes of Action: Breach of Contract

Plaintiffs allege

Defendants entered into an agreement to employ McCarthy as the executive producer of the project, and reneged on that agreement by firing McCarthy. (Second Amended Complaint, ¶¶ 62-66, 82-86.) Defendants argue Plaintiffs cannot prevail on

the causes of action for breach of contract because Plaintiffs and Defendants did not enter into an enforceable agreement.

“Contract formation requires mutual consent, which cannot exist unless the parties agree upon the same thing in the same sense. If there is no evidence establishing a manifestation of assent to the same thing by both parties, then there is no mutual consent to contract and no contract formation. Mutual consent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings.”

(Bustamante v. Intuit, Inc. (2006) 141 Cal.App.4th 199, 208, internal quotations and citations omitted.)

In support of their

motion, Defendants rely on several declarations. Campos states in her declaration, while

Defendants provided McCarthy with access to project-specific information, such access was not exclusive to candidates Defendants ultimately hired, and other candidates “received access to this information, but were not hired” (Declaration of Candice Campos, ¶ 28); she emailed McCarthy’s agent on April 8, 2022 with a proposal for McCarthy’s employment on the project (id., ¶

31, Exhibit F); later that day, McCarthy’s agent replied to Campos with a counter-offer which raised McCarthy’s pay rate and insisted McCarthy’s daughter be hired (id., ¶ 32, Exhibit G); on April 14, 2022, Campos sent

McCarthy’s agent a draft contract (id., ¶ 47, Exhibit K); on April 19, 2022, Campos informed McCarthy Lucasfilm would not agree to hire McCarthy’s daughter in any capacity (id., ¶ 57);

on April 21, 2022, McCarthy’s agent called Campos and Campos stated Lucasfilm was ending negotiations (id., ¶ 61); and Lucasfilm never received an executed contract from McCarthy (id., ¶ 66).

Defendants also offer

the declaration of Rayne Roberts (“Roberts”), a vice president of development for Lucasfilm, who worked as a producer on the project. Roberts declares she interviewed McCarthy by videoconference on April 1, 2022 and thereafter recommended McCarthy to Leslye Headland

(“Headland”), who was the writer and director for the project (Declaration of Rayne Roberts, ¶¶ 10-12), and she conducted a second videoconference interview of McCarthy with Headland on April 7, 2022, during which McCarthy mentioned McCarthy’s daughter, but Roberts

and Headland did not offer to hire McCarthy's daughter for the production (id., ¶¶ 19-22).

Headland similarly avers she met McCarthy once through videoconference on April 7, 2022 at which time McCarthy brought up her daughter, but Headland did not offer to hire McCarthy or her daughter for the production. (Declaration of Leslye Headland, ¶¶ 9-13.) Headland adds she had reservations about McCarthy after the interview, viewed McCarthy's demand to hire her daughter as strange, and supported the decision not to hire McCarthy. (Id., ¶¶ 20-23.)

Momita SenGupta ("SenGupta"), the executive vice president of physical production for Lucasfilm, oversees Campos. In her declaration, SenGupta states McCarthy's demand to hire her daughter created an impasse in negotiations to hire her, SenGupta met with McCarthy once via videoconference on April 12, 2022 to discuss McCarthy's demand Lucasfilm hire her daughter, and she did not hire McCarthy during this videoconference, nor represent Lucasfilm would hire McCarthy's daughter. (Declaration of Momita SenGupta, ¶¶ 18-25.) SenGupta adds, after Lucasfilm decided not to hire McCarthy, SenGupta received an email from McCarthy, in which McCarthy demanded payment for eight weeks, plus two weeks of work she claimed she had worked on the project, and SenGupta responded and stated Lucasfilm had not hired McCarthy, and McCarthy had not worked on the project. (Id., ¶¶ 35-36, Exhibits C, D.)

Defendants advance the declaration of Carrie Beck ("Beck"), who is the executive vice president of live action development and production at Lucasfilm. She states she interviewed McCarthy once via videoconference on April 1, 2022, at which she did not discuss compensation or other deal terms with McCarthy. (Declaration of Carrie Beck, ¶¶ 3-4.)

Defendants also rely on Plaintiffs' discovery responses. In response to discovery, Plaintiffs claimed Lucasfilm hired McCarthy on the following terms: "Pay: \$20,000 per week; [¶] Start Date: Monday, April 11; [¶] rolling 8 weeks of guaranteed pay—i.e., weeks worked to date plus 8 weeks guaranteed; [¶] Travel to London in June; [¶] £2,500 per week in living allowance OR first class hotel & £115 per diem; [¶] First class hotel &

\$150 per diem at foreign location; [¶] \$10,000 tax advice allowance; [¶] Car & driver in London; [¶] UK cell phone to be provided by production; and [¶] \$500 computer rental or computer to be provided by production." Plaintiffs stated that this agreement was memorialized in an April 8, 2022 email from Campos to McCarthy's agent and modified orally on April 11, 2022 on a call between McCarthy and Campos, and on April 12, 2022 in a videoconference between McCarthy and SenGupta. (Singer Decl., Exhibit C, pp. 7-9.) These are the terms Campos emailed to McCarthy's agent, after which McCarthy sent a counteroffer. (Campos Decl., ¶ 31, Exhibit F.)

Defendants also

present McCarthy's deposition testimony.

At deposition, McCarthy testified she felt she and Headland "were declaring that we were doing the show together" during the April 7, 2022 videoconference with Headland, the videoconference did not include any discussion of compensation or other deal points, and McCarthy did not know what compensation she would receive or what the terms of her employment would be (Singer Decl., Exhibit G, pp. 131, 136, 141-142); she authorized her agent to prepare a response to the contract Campos sent to her agent, which contained modified terms; (id., Exhibit G, pp. 154-161, 164-165); she thereafter spoke to Campos on the phone on April 11, 2022 and informed Campos Lucasfilm did not need to hire her daughter, if that were a barrier to the deal, but she felt her daughter would be useful to the production, she thereafter emailed Campos about her daughter's skill set because she wanted Lucasfilm to hire her daughter (id., Exhibit G, pp. 183-185, 189-190), on April 12, 2022, McCarthy met with SenGupta via videoconference, SenGupta stated McCarthy's daughter should join the production as McCarthy's assistant, and McCarthy did not discuss her guaranteed pay with SenGupta (id., Exhibit G, pp. 195-201); she reviewed the draft contract from Campos on April 14, 2022, but did not sign it (id., Exhibit G, pp. 207-208); Campos told her Lucasfilm could not hire McCarthy's daughter as McCarthy's assistant, and McCarthy told Campos that she would "think about that" (id., Exhibit G, pp. 214-215).

McCarthy further testified

she thereafter had a meeting with her agent about outstanding points on the deal with Lucasfilm, particularly the guaranteed pay, her understanding was she had not reached an agreement with Lucasfilm regarding the guaranteed pay (Singer Decl., Exhibit G, pp. 218-220); she had not reached an agreement with Lucasfilm regarding plane tickets Lucasfilm would provide for McCarthy's daughter to visit McCarthy if Lucasfilm did not hire her daughter (id., Exhibit H, pp. 254-256); Campos called her on April 22, 2022 "to fire" her (id., Exhibit H, pp. 256-257); she then texted her daughter that "Star Wars

pulled the offer” (id., Exhibit H, p. 278); she texted a friend the “deal fell apart” (id., Exhibit H, p. 286); and she understood her agent had sent a counter-offer to Lucasfilm (id., Exhibit K, p. 675).

Defendants also

include the testimony of David Morris (“Morris”), who was McCarthy’s agent at the time of the project. He testified that McCarthy wanted to pursue the project with Lucasfilm over the project for Apple, and he agreed with that decision (Singer Decl., Exhibit I, p. 118); he prepared a counter-offer to the emailed deal Campos sent for McCarthy, he wanted to ensure McCarthy’s daughter was hired for the project, and Lucasfilm’s hiring McCarthy’s daughter was “incredibly important” to McCarthy (id., Exhibit I, pp. 130-131, 134-135, 140); on April 9, 2022, he spoke to McCarthy about Lucasfilm’s opposition to hiring McCarthy’s daughter, and McCarthy was deciding whether she wanted to pursue the project without her daughter’s being involve in it (id., Exhibit I, p. 167); on April 21, 2022, the deal between Lucasfilm and McCarthy had remaining outstanding issues, including the offer of tickets for McCarthy’s family to visit her in London (id., Exhibit I, p. 231); on April 22, 2022, he texted a colleague Lucasfilm pulled McCarthy’s offer and McCarthy was “killing” him (id., Exhibit I, pp. 240-241); McCarthy thereafter terminated his representation of her on April 25, 2022 (id., Exhibit I, p. 251).

Morris further testified he did not accept the proposal Campos sent McCarthy and prepared a counter-offer, which McCarthy approved (Singer Decl., Exhibit O, pp. 359-360, 382); McCarthy and Lucasfilm had not reached agreement on McCarthy’s pay rate, her guaranteed pay, her travel and companion tickets for her family to visit her, or her per diem, and McCarthy and Lucasfilm had not agreed on the hiring of McCarthy’s daughter (id., Exhibit O, p. 380); he does not recall McCarthy’s agreement to the terms Lucasfilm proposed (id., Exhibit O, pp. 415-416, 420); and the deal between McCarthy and Lucasfilm had not closed (id., Exhibit O, p. 429).

Additionally, Defendants

offer the testimony of Robert M. Rubi (“Rubi”), another agent for McCarthy at the time of the project, and Morris’s coworker.

Rubi testified the April 8, 2022 email from Campos to Morris was an offer to begin negotiations. (Singer Decl., Exhibit J, p. 96.)

As detailed above,

Defendants' evidence meets their burden to show Plaintiffs and Defendants did not mutually consent to all pertinent contract terms and, therefore, they did not form a contract. Defendants'

evidence shows Plaintiffs sent a counteroffer to, rather than an acceptance of, the initial proposal from Lucasfilm. "An acceptance must be absolute and unqualified A qualified acceptance is a new proposal." (Civ.

Code, § 1585.) As Defendants' evidence establishes

Defendants did not agree to the terms of Plaintiffs' counteroffer, no enforceable agreement exists. Finally,

Defendants' evidence reveals McCarthy did not execute the memorandum of agreement, as the memorandum of agreement required. If a contract expressly requires written execution, there is no contract when there is "no mutual assent and no delivery of the written contract." (Khajavi v.

Feather River Anesthesia Medical Group (2000) 84 Cal.App.4th 32, 61.) Defendants, therefore, shifted the burden to Plaintiffs to raise triable issues of material fact as to whether Plaintiffs can prevail on the causes of action for breach of contract.

In opposition,

Plaintiffs advance the declaration of Kenneth Basin, who purports to testify as an expert. But Plaintiffs cannot rely on expert testimony to "define and apply the law" of contract formation. (Summers v. A.L. Gilbert Co. (1999) 69 Cal.App.4th 1155, 1182.) The Court, therefore, disregards this declaration.

Plaintiffs also

rely on McCarthy's declaration, wherein McCarthy states she was willing to work on The Acolyte without her daughter.

(Declaration of Karyn McCarthy, ¶ 18.)

In her declaration, McCarthy also avers she believed Lucasfilm had hired her because Headland allowed her to review materials for the projection (id., ¶¶ 44, 47); she believed the draft agreement Campos sent to McCarthy's agent was a complete agreement, although McCarthy acknowledges her agent was in discussions with Lucasfilm about "additional or clarifying points" (id., ¶¶ 108, 112); she spoke to her agent on April 21 about "agreed points and . . . additional details." (id., ¶¶

123-128); if she had known on April 11 or 12, 2022 Lucasfilm had reservations about McCarthy, McCarthy would have attempted to accept the offer from

Apple. (id., ¶ 134); and she did attempt to reconnect with Apple after April 22, 2022, but Apple did not hire her (id., ¶ 164).

Plaintiffs advance

McCarthy's deposition testimony. McCarthy testified she believed SenGupta "had designs on making" McCarthy's daughter "a block producer" for the project (Declaration of Robert E. Allen, Exhibit 21, p. 200); as of April 12, 2022, McCarthy believed her guarantee was "[s]omewhere between 8 and 15 weeks" (id., Exhibit 21, p. 200); her agent texted her something to the effect "[w]hat a difference a day makes . . . ," from which she deduced a complete deal had been reached (id., Exhibit 21, p. 201); she did not fully read the memorandum of agreement, nor did she sign it (id., Exhibit 21, pp. 207-209); and she turned down the offer from Apple before she authorized her agent to send a counter-offer to Campos (id., Exhibit 22, p. 326).

McCarthy's

testimony does not lend support to her position the parties reached an enforceable agreement. Rather, it reveals McCarthy and Lucasfilm did not reach agreement on many essential terms. Furthermore, McCarthy reiterated she authorized a counteroffer, which constitutes a new proposal, rather than an agreement or acquiescence to Lucasfilm's proposal.

Plaintiffs rely on

Campos's deposition testimony. At deposition, Campos testified she told McCarthy Lucasfilm would not share materials with McCarthy until McCarthy was "on the team." (Allen Decl., Exhibit 10, pp. 67-68.) However, as set forth above, McCarthy's subjective belief Lucasfilm had hired her does not constitute an enforceable agreement. Plaintiffs must advance evidence McCarthy and Lucasfilm agreed on all pertinent points to form an agreement. Plaintiffs fail to do so.

To bolster her

contention the parties had reached an agreement, Plaintiffs present Roberts's deposition testimony. At deposition, Roberts testified, on April 7, 2022, she received a notification McCarthy

received access to documents about the production. (Allen Decl., Exhibit 12, pp. 171-172.) Roberts also testified she sent an email on

April 8, 2022, in which she stated Campos would “commenc[e] deal negotiations”

with McCarthy, and the negotiations were “an open-ended step.” (Id., Exhibit 12, pp. 173-175.) Again, Plaintiffs’ own evidence shows Lucasfilm

and McCarthy had not agreed on material terms, and as such, there is no enforceable agreement between them.

Plaintiffs also advance

the testimony of SenGupta, who, in this regard, testified McCarthy’s request to have her daughter work on the production “was incredibly problematic . . . ,”

so SenGupta agreed to meet with McCarthy to try to resolve the dispute (Allen Decl., Exhibit 16, pp. 152-153); she met with McCarthy via videoconference on

April 12, 2022, and informed her Lucasfilm could “explore” bringing on

McCarthy’s daughter as McCarthy’s assistant, or arrange for tickets for

McCarthy’s daughter to visit frequently (id., Exhibit 16, pp. 154-155); and

she verified the work McCarthy’s daughter had performed on another production

with McCarthy (id., Exhibit 16,

pp. 180-183)

SenGupta’s

testimony along these lines does not show McCarthy and Lucasfilm reached

agreement on all pertinent terms, including a role for McCarthy’s daughter,

such that Lucasfilm and McCarthy reached an enforceable agreement.

Plaintiffs also

provide Headland’s deposition testimony.

Headland testified, on April 8, 2022, she recommended Lucasfilm hire

McCarthy after checking her references.

(Allen Decl., Exhibit 17, pp. 182-183.)

Rather than supporting Plaintiffs’ contentions, Headland’s testimony

shows Lucasfilm had not committed to hiring McCarthy as of that date. If Lucasfilm had already hired McCarthy,

checking her references would be immaterial.

Plaintiffs advance

the deposition testimony of Nicholas Kane (“Kane”), the witness Defendants

designated as their person most qualified to testify on specified matters. In that capacity, Kane testified Defendants

do not have a written policy no deal exists until a memorandum of agreement is

fully executed. (Allen Decl., Exhibit

18, p. 37.) The existence of such a

policy is irrelevant. The draft memorandum of understanding Campos sent to McCarthy's agent contained a term the memorandum was not enforceable unless McCarthy executed it. McCarthy admittedly did not do so.

To counter

Defendants' motion, Plaintiffs also advance Morris's deposition testimony. Morris testified he set up a videoconference on April 12, 2022 between McCarthy and SenGupta to "finaliz[e] the deal" (Allen Decl., Exhibit 19, pp. 197-198); he sent an internal email to his colleagues on April 13, 2022, in which he stated McCarthy had reached a deal with Lucasfilm, and McCarthy's daughter would work "within the series" (id., Exhibit 19, pp. 203-205); he believed McCarthy and Lucasfilm had agreed to material deal terms at that point (id., Exhibit 20, pp. 510-511); and he received the draft memorandum of agreement from Campos on April 14, 2022, and it was consistent with his understanding of the deal terms (id., Exhibit 19, pp. 207-209.)

However, as set

forth above, Morris's subjective belief Lucasfilm and McCarthy had reached agreement before Morris received the draft memorandum of agreement does not constitute an enforceable agreement.

Furthermore, McCarthy did not execute the memorandum of agreement, as required. Accordingly, Plaintiffs fail

to raise triable issues of material fact as to whether Plaintiffs and Defendants reached a contract such that Plaintiffs could prevail on their causes of action for breach of contract.

Plaintiffs rely on

Estate of Thottam (2008) 165 Cal.App.4th 1331. In that case, the Court of Appeal noted, "The material terms of a proffered contract must be sufficiently certain to provide a basis for determining what obligation the parties have agreed to. There are occasions in which minor matters in elaborate contracts are left for future agreement. When this occurs, it does not necessarily mean that the entire contract is unenforceable." (Id., at p. 1340, internal quotations and citations omitted.) In the instant case, however, the parties did not form an agreement and leave minor matters for future agreement. Instead, Campos sent McCarthy a draft memorandum of agreement, which, by its terms, required McCarthy's signature. McCarthy admittedly did not execute the draft memorandum of agreement. As such, there is no enforceable contract between McCarthy and Lucasfilm.

Plaintiffs also cite

Banner Entertainment, Inc. v. Superior Court (Alchemy Filmworks, Inc.)

(1998) 62 Cal.App.4th 348, which supports Defendants' contentions, rather than

Plaintiffs' arguments. In that case, the

Court of Appeal noted, "when the parties to a proposed contract have themselves

fixed the manner in which their assent is to be manifested, an assent thereto,

in any other or different mode, will not be presumed." (Id., at p. 359, internal

quotations and citations omitted, emphasis deleted.) Here, as set forth above, Campos sent a draft

memorandum of agreement, which explicitly required McCarthy's signature. McCarthy admittedly did not execute the

memorandum of agreement. As such, the

Court cannot presume McCarthy manifested her acceptance of an agreement with

Lucasfilm in another manner.

Plaintiffs argue McCarthy started working for

Lucasfilm and thereby accepted Lucasfilm's offer. In support of this argument, Plaintiffs cite

Civil Code section 1582, which again supports Defendants' contentions. That statute provides, "If a proposal

prescribes any conditions concerning the communication of its acceptance, the

proposer is not bound unless they are conformed to[.]" (Civ. Code, § 1582.) Again, Lucasfilm's draft memorandum of

agreement explicitly required McCarthy's signature. McCarthy did not execute the document. As such, the Court will not infer McCarthy's

acceptance of the agreement based on any work she performed. Likewise, Plaintiffs' reliance on Civil Code

section 1584 is misplaced. Section 1584

states, "[p]erformance of the conditions of a proposal" constitutes

acceptance. McCarthy did not complete

the work on the project for which Lucasfilm sought to engage her. As such, any work she performed does not

constitute acceptance of the offer from Lucasfilm.

Plaintiffs also argue

Defendants cannot enforce the requirement that McCarthy execute the memorandum

of agreement. Contractual provisions "are

subject to waiver by the party for whose benefit they are made." (Galdjie v. Darwish (2003) 113

Cal.App.4th 1331, 1339.) Generally,

waiver is the voluntary relinquishment of a known right. (Zamora v.

Lehman (2010) 186 Cal.App.4th 1, 12.)

Plaintiffs do not identify any conduct by Lucasfilm by which it waived

its right to require McCarthy's execution of the memorandum of agreement. Instead, Plaintiffs argue Lucasfilm had

already decided not to hire McCarthy when it sent the long-form agreement. (Opposition to Defendants' Motion for Summary Judgment, p. 15.) Lucasfilm could not

waive its right to enforce the requirement McCarthy execute the memorandum of

agreement before it sent that document to McCarthy. Likewise, evidence of continued negotiations

with McCarthy is not evidence Lucasfilm did not intend to enforce the requirement McCarthy execute the memorandum of agreement, as none of the negotiations concerned that term.

Plaintiffs contend

Defendants used Morris's counteroffer Lucasfilm hire McCarthy's daughter "as a pretext to induce McCarthy to resign on her own accord." (Opposition to Defendants' Motion for Summary Judgment, p. 13.) This contention defies logic. While working as McCarthy's agent, Morris proposed Lucasfilm hire McCarthy's daughter in McCarthy's counteroffer to Lucasfilm's proposal. As such, McCarthy extinguished Lucasfilm's offer and proposed a new deal, to which Lucasfilm declined to agree. No pretext was necessary for Lucasfilm to decline the counteroffer. Furthermore, after McCarthy contends Lucasfilm decided not to hire McCarthy, Lucasfilm dispatched the draft memorandum of agreement. If Lucasfilm wanted McCarthy to disclaim any employment with Lucasfilm, it seems implausible Lucasfilm would send McCarthy a draft memorandum of agreement, which McCarthy could have executed if McCarthy desired to work with Lucasfilm notwithstanding the disagreement regarding McCarthy's daughter's employment. A fair inference could be drawn McCarthy did not execute the agreement because her daughter's employment was material to McCarthy, and the parties had not agreed on the issue. This provides further support to the notion as the parties had not agreed on material terms, the parties did not form an enforceable agreement.

Plaintiffs argue McCarthy's

counteroffer was immaterial, because "SenGupta and Morris renewed and closed materially the same deal" on April 11, 2022.

(Opposition to

Defendants' Motion for Summary Judgment, p. 13.) The evidence before the Court does not support this theory. If SenGupta and

Morris closed a deal on April 11, 2022, Morris would not have scheduled a videoconference on April 12, 2022 between McCarthy and SenGupta to "finaliz[e] the deal" (Allen Decl., Exhibit 19, pp. 197-198.) Furthermore, by its terms, any agreement between Lucasfilm and McCarthy was "not to be performed within a year from the making thereof"

(Civ. Code, § 1624, subd. (a)(1).)

As such, the agreement is invalid unless memorialized in writing. (Civ. Code, § 1624.) McCarthy did not sign the draft memorandum of

agreement and, as such, the parties did not memorialize their agreement in writing.

In opposition,

Plaintiffs do argue the statute of frauds does not apply based on *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654. In that case, the California Supreme Court noted the statute of frauds applies to employment contracts where “there [is] a reasonable expectation of employment for more than one year” (*Id.*, at p. 672, internal quotations and citations omitted.) The Supreme Court further noted the statute of frauds does not apply to a contract for employment “terminable only on the condition of his subsequent poor performance or other good cause,” if the contract for employment is “for no specified term” (*Id.* at 673.)

In the instant

case, Lucasfilm sought to engage McCarthy for the production of *The Acolyte*, which the parties agreed would take more than one year to complete. As such, the statute of frauds applies. As set forth above, McCarthy did not execute the written draft memorandum of agreement. Accordingly, the statute of frauds bars any oral agreement.

Fourth Cause of Action: Promissory Estoppel

“The elements of promissory estoppel are (1) a clear promise, (2) reliance, (3) substantial detriment, and (4) damages” (*Toscano v. Greene Music* (2004) 124 Cal.App.4th 685, 692.) In support of the cause of action for promissory estoppel, Plaintiffs allege Defendants promised to hire McCarthy as executive producer of the project, and McCarthy relied on that promise by turning down another competing opportunity. (Second Amended Complaint, ¶¶ 75-76.) Defendants argue Plaintiffs could not have reasonably relied on any promise by Defendants, because the parties had not settled the terms of their agreement. A party's reliance on a promise is unreasonable where “the parties were still in the negotiation stage.” (*Laks v. Coast Fed. Sav. & Loan Assn.* (1976) 60 Cal.App.3d 885, 891.)

As set forth above, Defendants advance evidence the parties never concluded their negotiations regarding McCarthy's employment with Lucasfilm. This evidence

likewise satisfies Defendants' burden to show Plaintiffs cannot prevail on the claim for promissory estoppel.

Defendants shifted the burden to Plaintiffs to raise triable issues of material fact as to whether the parties concluded their negotiations. As set forth above, Plaintiffs fail to advance evidence to meet that burden.

Sixth Cause of Action: Labor Code Section 201

Plaintiffs' sixth cause

of action is under Labor Code section 201, which requires prompt payment of all wages due at an employee's termination.

(Lab. Code, § 201.) Plaintiffs

allege Defendants failed to pay McCarthy the wages she earned for the work she performed on the project. (Second

Amended Complaint, ¶¶ 91-92.) Defendants

counter, arguing this cause of action fails as derivative of the breach of contract causes of action. In this

regard, Defendants assert as the parties never entered into an agreement, no wages were due. As discussed above, Defendants'

evidence establishes Defendants and Plaintiffs did not agree on terms of an agreement. Defendants likewise shifted

the burden to Plaintiffs to raise triable issues of material fact as to whether

Plaintiffs can prevail on the cause of action under Labor Code section 201

Plaintiffs have failed to advance evidence to meet that burden.

Seventh Cause of Action: Intentional Interference with Prospective Economic Relations

To prevail on a cause of action for

intentional interference with prospective economic relations, Plaintiffs must show an economic relationship exists between Plaintiffs and a third party with the probability of future economic benefit to Plaintiffs, Defendants' knowledge of the relationship, Defendants' intentional acts to disrupt the relationship which result in actual disruption of the relationship, and resulting harm to Plaintiffs.

(Salma v. Capon (2008) 161

Cal.App.4th 1275, 1290.)

In support of this claim, Plaintiffs allege McCarthy

had an economic relationship with Apple, as Apple offered McCarthy a competing offer to produce a series. Plaintiffs further

allege Defendants induced McCarthy to forego Apple's offer in favor of Defendants' offer to serve as executive producer on the project and thereafter reneged on that offer. (Second Amended Complaint, ¶¶ 95-103.)

Defendants also cite McCarthy's deposition testimony at which McCarthy testified she did not tell anyone at Lucasfilm she turned down an offer to pursue the deal with Lucasfilm. (Singer Decl., Exhibit H, pp. 311-312.) McCarthy testified that she decided not to pursue an offer with Apple before her agent sent the counteroffer to Lucasfilm, because her agent thought the opportunity with Lucasfilm would be better for McCarthy's career. (Id., Exhibit H, p. 326.) Defendants' evidence reveals McCarthy chose not to pursue the opportunity with Apple because of advice from her agent. As such, Defendants' evidence meets their burden to show Plaintiffs cannot prevail on the cause of action for intentional interference with prospective economic relations, because any disruption of the relationship between McCarthy and Apple occurred by McCarthy's choice, not any wrongful act by Defendants. Defendants have effectively shifted the burden to Plaintiffs to raise triable issues of material fact as to whether Plaintiffs can prevail on the cause of action for intentional interference with prospective economic relations.

In opposition, Plaintiffs argue Defendants defrauded them to induce McCarthy not to accept the deal with Apple. (Opposition to Defendants' Motion for Summary Judgment, pp. 23-24.) But Plaintiffs have not presented evidence of actionable fraud. Accordingly, Plaintiffs fail to raise triable issues of material fact concerning whether Defendants' fraud induced McCarthy not to accept the deal with Apple.

Eighth Cause of Action: Negligent Interference With Prospective Economic Relations

To prevail on the cause of action for negligent interference with prospective economic relations, Plaintiffs must show Plaintiffs had an economic relationship with a third party that had a reasonably probable future economic benefit for Plaintiffs, that Defendants knew of the relationship and knew that if Defendants did not act with due care, Defendants would interfere with the relationship, that Defendants were negligent, and that the negligence damaged Plaintiffs because of the disruption to the relationship. (North Amer.

Chem. Co. v. Superior Court (1997) 59 Cal.App.4th 764, 786.)

In support of this claim, Plaintiffs allege McCarthy had an economic relationship with Apple, as Apple offered McCarthy a competing opportunity to produce a series, Defendants induced McCarthy to forego Apple's offer in favor of Defendants' offer, and thereafter Defendants reneged on their offer. (Second Amended Complaint, ¶¶ 106-109.)

As set forth above, Defendants' evidence reveals McCarthy chose not to pursue the opportunity with Apple because of advice from her agent. As such, Defendants' evidence meets their burden to show Plaintiffs cannot prevail on the cause of action for negligent interference with prospective economic relations, because any disruption of the relationship between McCarthy and Apple occurred by McCarthy's choice, not any wrongful act by Defendants. The burden then rests with Plaintiffs to raise triable issues of material fact as to whether Plaintiffs can prevail on the cause of action for negligent interference with prospective economic relations.

In opposition, Plaintiffs argue Defendants defrauded Plaintiffs to induce McCarthy not to accept the deal with Apple. (Opposition to Defendants' Motion for Summary Judgment, p. 24.) As set forth above, Plaintiffs fail to advance evidence of actionable fraud.

Accordingly, Plaintiffs fail to raise triable issues of material fact as to whether Defendants' alleged fraud induced McCarthy not to accept the deal with Apple.

CONCLUSION AND ORDER

Plaintiffs have not raised triable issues of material fact as to whether Plaintiffs can prevail on their causes of action against Defendants.

Consequently, Defendants' motion for summary judgment, or, in the alternative, summary adjudication, is granted.

Defendants are ordered to give notice of the Court's ruling and to file proof of service of same.